

8-4a Write-Offs to the Allowance Account

When a customer’s account is identified as uncollectible, it is written off against the allowance account. This requires the company to remove the specific accounts receivable and an equal amount from the allowance account.

To illustrate, on January 21, 20Y2, John Parker’s account of \$6,000 with **ExTone Company** is written off as follows:

20Y2							
Jan.	21	Allowance for Doubtful Accounts		6,000			
		Accounts Receivable—John Parker				6,000	
		Assets		=	Liabilities	+	Stockholders' Equity
		Accounts Receivable	Allowance for Doubtful Accounts				
		6,000	6,000				

Ethics in Action

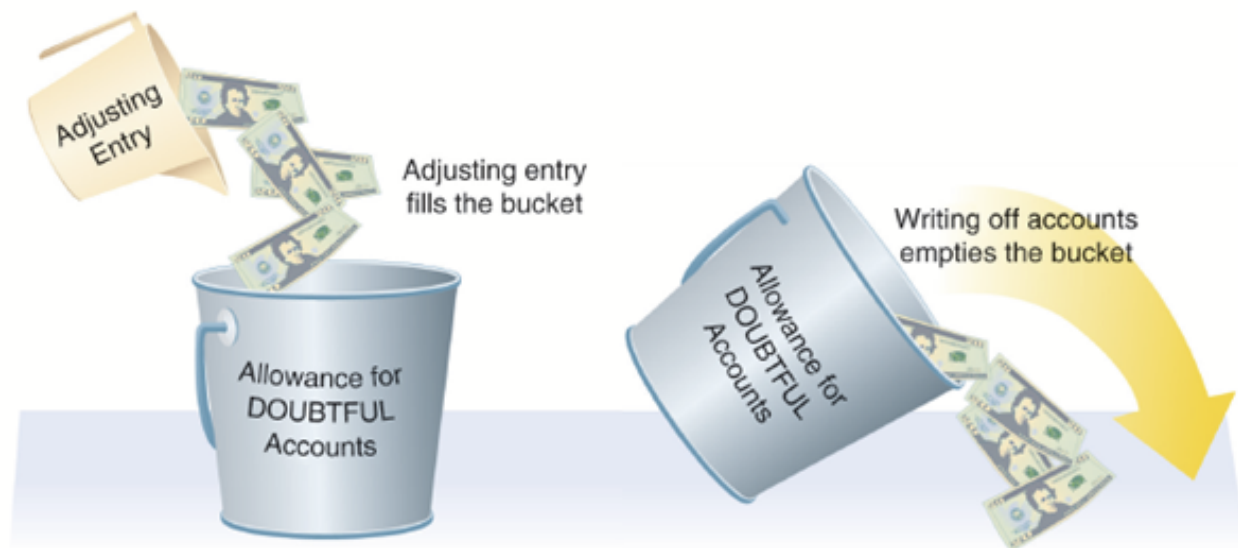
Collecting Past Due Accounts

Companies should make reasonable attempts (steps) to collect past due accounts, as we discussed in the previous Business Insight. Many companies first send a collection reminder as a first step. As a second step, a company may send a collection letter which offers options such as a willingness to negotiate a schedule for future payments. The next step is normally to turn the past due amount over to a collection agency or to file action in court. However, in no case should a company employee harass or misrepresent themselves as an attorney, collection agent, or agent of the court to the customer.

At the end of a period, Allowance for Doubtful Accounts will normally have a balance. This is because Allowance for Doubtful Accounts is based on an estimate. As a result, the total write-offs to the allowance account during the period will rarely equal the balance of the account at the beginning of the period. The allowance account will have a credit balance at the end of the period if the write-offs during the period are less than the beginning balance. It will have a debit balance if the write-offs exceed the beginning balance.

Exhibit 1 illustrates the allowance method where the adjusting entry increases the Allowance for Doubtful Accounts (fills the bucket) while writing off accounts decreases the Allowance for Doubtful Accounts (empties the bucket).

The Allowance Method



To illustrate, assume that during 20Y2, **ExTone Company** writes off \$26,750 of uncollectible accounts, including the \$6,000 account of John Parker recorded on January 21, 20Y2. Allowance for Doubtful Accounts will have a credit balance of \$3,250 (\$30,000 – \$26,750), computed as follows:

Allowance for Doubtful Accounts				
			Jan. 1, 20Y2	Balance 30,000
Total accounts written off in 20Y2 \$26,750	Jan. 21	6,000		
	Feb. 2	3,900		
	⋮	⋮		
		<u> </u>	Dec. 31, 20Y2	Unadjusted balance 3,250

If ExTone had written off \$32,100 in accounts receivable during the second year, Allowance for Doubtful Accounts would have a debit balance of \$2,100, computed as follows:

Allowance for Doubtful Accounts				
			Jan. 1, 20Y2	Balance 30,000
Total accounts written off in 20Y2 \$32,100	Jan. 21	6,000		
	Feb. 2	3,900		
	⋮	⋮		
		<u> </u>	Dec. 31, 20Y2	Unadjusted balance 2,100

The allowance account balances (credit balance of \$3,250 and debit balance of \$2,100) in the preceding illustrations are *before* the end-of-period adjusting entry. After the end-of-period adjusting entry is recorded, Allowance for Doubtful Accounts should always have a credit balance.

An account receivable that has been written off against the allowance account may be collected later. Like the direct write-off method, the account is reinstated by an entry that reverses the write-off entry. The cash received in payment is then recorded as a receipt on account.

To illustrate, assume that Nancy Smith’s account of \$5,000, which was written off on April 2, 20Y2, is collected later on June 10. **ExTone Company** journalizes the reinstatement and the collection as follows:

20Y2									
June	10	Accounts Receivable—Nancy Smith		5,000					
		Allowance for Doubtful Accounts				5,000			
		Assets		=	Liabilities	+	Stockholders' Equity		
		Accounts Receivable	Allowance for Doubtful Accounts						
		5,000	5,000						

June		Cash		5,000					
		Accounts Receivable—Nancy Smith				5,000			
		Assets		=	Liabilities	+	Stockholders' Equity		
		Cash	Accounts Receivable						
		5,000	5,000						

Link to Under Armour

On a recent balance sheet, **Under Armour** reported net receivables of \$708,714,000 and an allowance for uncollectible accounts of \$15,100,000.